At Level 1, we come up with foolish proposals, unmoored in logic or analysis.

At Level 2, we use Google and unthinkingly copy what other countries are doing. At this stage, we will avoid mistakes like the Chinese Great Firewall which controls Internet access of the populace, which is abhorrent in all healthy democracies. It would have helped to know that no country has ever taken 86 per cent of its currency notes out of circulation in one fell swoop. It would have helped to know that no mature democracy bans cryptocurrency investment or trading. However, at this stage, we will make many mistakes, that come from inappropriate transplantation of policy designs.

At Level 3, we have acquired metis, we are authentically grounded in our backyard, and engage in creative problem solving from first principles. We would be fully knowledgeable about how the rest of the world works, we would creatively imagine new solutions on our own, we would be authentically grounded in the Indian reality in envisioning how various policy alternatives would work. We would be fully able to debate with policy thinkers elsewhere in the world, and present Indian solutions as optimal pathways under Indian conditions, while carefully warning other countries that they have to think for themselves. We would be confident about our work, but recognizing the importance of metis, we would not think that our success stories are the blueprint for other countries. The puzzle before the Indian policy community lies in nurturing the intellectual capacity for Level-3 work.

Free-riding on state capacity outside India

There are, however, some situations where international economic integration brings the possibility of simple free-riding on state capacity that exists in mature democracies.